

**Aileen's Bi-weekly Paycheck After Deductions**

| <b>Earnings</b>     | <b>Hourly<br/>Rate</b> | <b>Total<br/>Hours</b> | <b>This<br/>period</b> | <b>Year to<br/>date</b> |
|---------------------|------------------------|------------------------|------------------------|-------------------------|
| Regular             | 13.02                  | 80                     | \$1,041.60             | \$12,323.81             |
| <b>Gross Pay</b>    |                        |                        | <b>\$1,041.60</b>      | <b>\$12,323.81</b>      |
| <b>Deduction</b>    |                        |                        |                        |                         |
| Federal Income Tax  |                        |                        | \$82.19                | \$959.85                |
| Social Security Tax |                        |                        | \$64.59                | \$764.08                |
| Medicare Tax        |                        |                        | \$15.11                | \$178.70                |
| State Income Tax    |                        |                        | \$34.27                | \$402.34                |
| City Income Tax     |                        |                        | \$3.14                 | \$34.50                 |
| Company 401(k)      |                        |                        | \$31.25                | \$375.00                |
| Retirement Plan     |                        |                        |                        |                         |
| Medical Insurance   |                        |                        | \$25.00                | \$300.00                |
| <b>Net Pay</b>      |                        |                        | <b>\$786.05</b>        | <b>\$9,309.34</b>       |

Since Aileen was not expecting money to be taken out of her check and diverted elsewhere, she had planned her budget considering the higher “gross” amount. As the result of this mistaken assumption, she had budgeted \$255.55 more for each paycheck than she actually received. Unfortunately, Aileen had already signed an apartment lease based on the gross salary.

She desperately needed to make more money and thought she had found the perfect solution. Since taxes were the cause of her income reduction, she rationalized that she could adjust her withholdings on her W-2 form and get the money back. Aileen promptly went to the personnel department and changed her withholdings to “exempt.” This allowed her to have the least amount of tax deductions taken out of her check. Although this change provided immediate relief by increasing the net income she received, it created a much larger problem in the long run.

